IB

ECONOMICS

Question Bank

Demand-Side and Supply-Side Policies

Book Number: 6057

Name:…….

School:……

Date:……...

QUESTIONS

1. Using real-world examples, discuss the effectiveness of supply-side policies in reducing unemployment. [15]

2. Using real-world examples, discuss the view that the best way to reduce unemployment is through education and training. [15]

3. Using real-world examples, evaluate two government policies to reduce inflation. [15]

4. Using real-world examples, evaluate the effectiveness of fiscal policy as a tool to reduce unemployment. [15]

5. Explain how fiscal policy can be used to achieve long-term economic growth (increases in potential output). [10]

6. Using real-world examples, evaluate the view that fiscal policy is the most effective way of achieving long-term economic growth. [15]

7. Using real-world examples, evaluate the view that the use of fiscal policy is the most effective way of reducing the rate of inflation in an economy. [15]

8. Using real-world examples, evaluate government policies to deal with the different types of unemployment. [15]

9. Using real-world examples, discuss the view that the use of monetary policy is always the best way to reduce inflation. [15]

10. Using real-world examples, evaluate the effectiveness of fiscal policy in promoting economic activity during a recession. [15]

11. Using real-world examples, evaluate the effectiveness of interventionist supply-side policies to achieve economic growth. [15]

12. "Market-based supply-side policies will always be more effective in promoting economic growth than demand-side policies." Using real-world examples, discuss to what extent do you agree with this statement. [15]

13. Explain how an increase in government spending can lead to crowding out. [10] – **HL Only**

14. Explain the impact of automatic stabilizers on an economy. [10] – **HL Only**

15. Explain how an increase in investment might affect the aggregate demand through the multiplier effect. [10] – **HL Only**

16. Explain how inflation targeting works. [10]

17. Explain how a demand-side policy works to close a deflationary gap. [10]

18. Explain two tools open to a central bank to conduct expansionary monetary policy. [10] – **HL Only**

19. Explain any two supply-side policies that could increase economic growth. [10]

MARKSCHEME

1. Answers may include:
- Terminology: supply-side policies, unemployment
- Diagram: an AD/AS diagram showing an increase in LRAS or a labour market showing an increase in labour demand/supply
- Explanation: of how supply-side policies (market-based and interventionist) could reduce different types of unemployment (eg, labour market reforms, government spending on training, provision of job information)
- Real-world example
- Synthesis: consideration of the advantages and disadvantages of supply-side policies in reducing unemployment (eg, opportunity cost for the government budget, time lag, increased inequality in income distribution); consideration of the types of unemployment (cyclical vs the natural rate of unemployment); consideration of alternative policies (expansionary demand-side policies).

2. Answers may include:
- Terminology: unemployment
- Explanation: that education and training increase the skill level of unemployed workers
- Diagram: a labour market showing an increase in labour demand/supply
- Real-world example
- Synthesis: consideration of how education and training might be appropriate for structural unemployment, but might not be as effective with demand-deficient and frictional unemployment; consideration of the cost and effectiveness of government-run education and training; consideration that alternative policies are more effective than education and training in reducing certain types of unemployment.

3. Answers may include:
- Terminology: two policies provided - fiscal policy, monetary policy, supply-side policies
- Explanation: of the use of fiscal policy, monetary policy or supply-side policies to reduce inflation
- Diagram: AS/AS diagrams to illustrate the application of policies to deal with inflation - contractionary demand-side policies mainly reduce AD whereas supply-side policies mainly increase LRAS.
- Real-world example
- Synthesis: consideration of the strengths and limitations of the two policies discussed; consideration of the types of inflation (demand-pull and cost-push).

4. Answers may include:
- Terminology: fiscal policy, unemployment
- Explanation: that fiscal policy can reduce unemployment (mostly cyclical) by increasing AD when the government increases government spending rises and cut down direct taxes
- Diagram: an AD/AS diagram showing an increase in AD to close a deflationary gap
- Real-world example
- Synthesis: consideration of the relative merits (eg, government spending has a direct impact on AD, government spending can be directed to creating jobs) and demerits (eg, budget deficit, crowding out – **HL**, possible ineffectiveness of tax cuts due to low confidence levels) of fiscal policy; consideration of alternative policies; consideration of the effectiveness of the fiscal policy on other types of unemployment (eg, government spending targeted on education and retraining can reduce structural unemployment).

5. Answers may include:
- Terminology: fiscal policy, economic growth, potential output
- Explanation: that government spending on education, training, healthcare and infrastructure can increase labour productivity and/or efficiency, thereby increasing potential output; explanation that direct tax cuts can increase the incentive to work, labour force participation and more foreign direct investment, thereby increasing potential output
- Diagram: to show an increase in LRAS and an increase in potential output

6. Answers may include:
- Terminology: long-term economic growth, fiscal policy
- Explanation: of how fiscal policy leads to long-term economic growth indirectly by creating an economic environment that is favourable to private investment, and directly through government spending on physical capital goods and human capital formation, as well as provision of incentives for firms to invest, all of which are expected to have the effect of increasing potential output
- Diagram: a PPC diagram with it shifting outward, or an AD/AS diagram showing a rightward shift in LRAS
- Real-world example
- Synthesis: consideration of the types of fiscal policy (ie, not every type of government spending can achieve long-term economic growth); consideration of advantages and disadvantages of fiscal policy; consideration of alternative policies, such as monetary and supply-side policies, in achieving long-term economic growth.

7. Answers may include:
- Terminology: fiscal policy, inflation
- Explanation: of the mechanisms through which contractionary fiscal policy may lower the rate of inflation through its impact on AD
- Diagram: an AD/AS diagram showing a leftward shift in AD
- Real-world example
- Synthesis: consideration of the type of inflation; consideration of the advantages and disadvantages of fiscal policy (eg, possible conflicts with other objectives of economic policy, the direct impact on AD, the problem of time lags, political constraints, the use of fiscal policy to influence the supply side of the economy); consideration of alternative policies to reduce the rate of inflation, such as monetary policy and supply-side policies.

8. Answers may include:
- Terminology: unemployment
- Explanation: those fiscal, monetary or supply-side policies can all be used to reduce the different types of unemployment (eg, fiscal policy – increased government spending and tax cuts; monetary policy – increased money supply and reduced interest rates; supply-side policies – labour market reforms, government spending on training, provision of job information)
- Diagram: an AD/AS diagram (eg, a rightward shift in AD closing a deflationary gap) or a labour market diagram showing an increase in labour demand/supply
- Real-world example
- Synthesis: consideration of the effectiveness of fiscal, monetary and supply-side policies in terms of dealing with the different types of unemployment, including the limitations of using demand management to deal with anything other than cyclical unemployment and the suitability of various supply-side policies; consideration of short-run/long-run implications of using demand management and supply-side policies.

9. Answers may include:
- Terminology: monetary policy, inflation
- Explanation: of the mechanisms through which contractionary monetary policy (reduced money supply and interest rate hikes) may lower the rate of inflation through its impact on AD
- Diagram: an AD/AS diagram showing a leftward shift in AD
- Real-world example
- Synthesis: consideration of the types of inflation; consideration of the advantages and disadvantages of monetary policy (eg, possible conflicts with other macroeconomic objectives, possible ineffectiveness of contractionary monetary policy due to high confidence levels, no implementation lags, ability to adjust interest rate flexibly and incrementally, the effect of the interest rates on the exchange rate); consideration of alternative policies to reduce the rate of inflation, such as fiscal policy and supply-side policies.

10. Answers may include:
- Terminology: fiscal policy, recession
- Explanation: of the mechanisms by which expansionary fiscal policy might work in terms of tax cuts/increases in government spending
- Diagram: an AD/AS diagram showing a rightward shift in AD, closing a deflationary gap
- Real-world example
- Synthesis: consideration of the effectiveness of fiscal policy in terms of factors (eg, the direct impact on AD, time lags, possible ineffectiveness of tax cuts due to low confidence levels, crowding out – **HL**, the inability to fine-tune the economy, and the inability to deal with supply-side causes of instability); consideration of alternative policies (eg, monetary policy)

11. Answers may include:
- Terminology: interventionist supply-side policies, economic growth
- Explanation: of the interventionist supply-side policies that could be used to increase the rate of economic growth by increasing LRAS and perhaps AD (education & training, healthcare, infrastructure, industrial policy, research & development)
- Diagram: an AD/AS diagram showing a rightward in LRAS (can also include a rightward shift in AD as some of the policies involve direct government spending)
- Real-world example
- Synthesis: consideration of the advantages and disadvantages of interventionist supply-side policies used to increase economic growth (eg, time lags, its possible effects on AD, possible ineffectiveness of the policies [eg, poor quality of education, healthcare and infrastructure], its effects on inflation & unemployment); consideration of the types of economic growth; consideration of alternatives to interventionist supply-side policies.

12. Answers may include:
- Terminology: market-based supply-side policies, demand-side policies, economic growth
- Explanation: of the mechanisms through which market-based supply-side policies (incentive-related policies, policies to increase competition, labour market reforms), and demand-side policies (fiscal or monetary policies) increase economic growth
- Diagram: an AD/AS diagram showing increased real GDP resulting from changes to AD and AS
- Real-world example
- Synthesis: consideration of the effectiveness of each policy in increasing different types of economic growth (eg, market-based supply-side policies may not be effective in pulling an economy out of a serious recession caused by a deficiency in AD); consideration of the advantages and disadvantages of each policy (eg, market-based policies work with long time lags, harm income distribution, worsen the government budget, reducing inflation and reducing unemployment).

13. Answers may include:
- Terminology: crowding out, government spending
- Explanation: that an increase in government spending could involve government borrowing from the private sector which increases the interest rates and subsequently reduces interest-sensitive spending, such as consumption and investment
- Diagram: an AD/AS diagram with AD shifting to the right (due to an increase in government spending) and then to the left partially (due to a fall in investment and/or consumption)

14. Answers may include:
- Terminology: automatic stabilizers
- Explanation: that how unemployment benefits and progressive tax system help reduce economic fluctuations automatically without any deliberate changes in government spending and taxation; unemployment benefits reduce the extent of a decrease in consumption during a recession, thereby mitigating its severity. Conversely, progressive income taxes reduce the extent of an increase in income during an economic boom, thereby moderating its impact.
- Diagram: An AD/AS diagram illustrating larger shifts in AD (in the absence of automatic stabilizers) and smaller shifts in AD (with automatic stabilizers), or a business cycle diagram showing varying magnitudes of fluctuations

15. Answers may include:
- Terminology: investment, aggregate demand, multiplier
- Explanation: that investment is a component of AD or an injection into the economy. This leads to an increase in national income, which in turn raises consumption further, based on the value of the MPC. As consumption increases, it continues to boost aggregate demand (AD), creating a cyclical effect.
- Diagram: an AD/AS diagram showing an initial increase in AD (due to higher I) causing further increases in AD (due to the multiplier effect)

16. Answer may include:
- Terminology: inflation, inflation targeting
- Explanation: inflation targeting involves a central bank setting a specific inflation rate as its target. When the actual inflation rate exceeds this target range, the central bank responds by implementing contractionary monetary policy, such as raising interest rates. Conversely, when inflation falls below the target range, expansionary monetary policy, such as lowering interest rates, is employed to stimulate economic activity.
- Diagram: an AD/AS diagram showing the impact of changes in monetary policy, specifically showing how shifts in AD occur in response to changes in the inflation rate.

17. Answer may include:
- Terminology: demand-side policy, deflationary gap
- Explanation: of how expansionary fiscal policy or monetary policy could be used to increase AD, closing a deflationary gap (fiscal policy – increased government spending and tax cuts; monetary policy – increased money supply and reduced interest rates)
- An AD/AS diagram showing a rightward shift in AD, resulting in an increase in the level of real GDP from below full employment back to the full employment level of output (LRAS).

18. Answer may include:
- Definition: expansionary monetary policy
- Explanation: of any two of the following instruments - open market operations, minimum reserve requirement, base rate changes and quantitative easing, and how they increase money supply
- Diagram: a money market diagram showing a rightward shift in the money supply curve, thereby reducing interest rates, or an AD/AS diagram showing an increase in AD

19. Answer may include:
- Definition: supply-side policies, economic growth
- Explanation: of how supply-side policies (can be interventionist policies, such as increased government spending on education and healthcare, or market-based policies, such as labour market reforms and incentive-related policies) increase economic growth
- Diagram: an AD/AS diagram showing a rightward shift in the LRAS, or a PPC diagram shifting outward